class made a better showing than those of companies with funded debt. But from this rather obvious fact it does not follow that *all* preferred stocks with bonds preceding are unsound investments, any more than it can be said that *all* second-mortgage bonds are inferior in quality to *all* first-mortgage bonds. Such a principle would entail the rejection of all public-utility preferred stocks (since they invariably have bonds ahead of them) although these are better regarded as a group than are the "non-bonded" industrial preferreds. Furthermore, in the extreme test of 1932, a substantial percentage of the preferred issues which held up were preceded by funded debt.[2]

To condemn a powerfully entrenched security such as General Electric preferred in 1933 because it had an infinitesimal bond issue ahead of it, would have been the height of absurdity. This example should illustrate forcibly the inherent unwisdom of subjecting investment selection to hard and fast rules of a *qualitative* character. In our view, the presence of bonds senior to a preferred stock is a fact which the investor must take carefully into account, impelling him to greater caution than he might otherwise exercise; but if the company's exhibit is sufficiently impressive the preferred stock may still be accorded an investment rating.

Total-Deductions Basis of Calculation Recommended. In calculating the earnings coverage for preferred stocks with bonds preceding, it is absolutely essential that the bond interest and preferred dividend be taken *together*. The almost universal practice of stating the earnings on the preferred stock separately (in dollars per share) is exactly similar to, and as fallacious as, the prior-deductions method of computing the margin above interest charges on a junior bond. If the preferred stock issue is much smaller than the funded debt, the earnings per share will indicate that the preferred dividend is earned more times than is the bond interest. Such a statement must either have no meaning at all, or else it will imply that the preferred dividend is safer than the bond interest of the same company—an utter absurdity.[3] (See the examples on page 5.)

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[2] Out of the 21 such issues, listed in Chap. 14, eleven were preceded by bonds, *viz.*, five public utilities, one railroad, and five (out of 15) industrials.

[3] See Appendix Note 2 for comment upon neglect of this point by writers of textbooks on investment.